PRADITA University

Organizational Theory & Change Management - Week 8

Organizational Design and Strategy in a Changing Global Environment

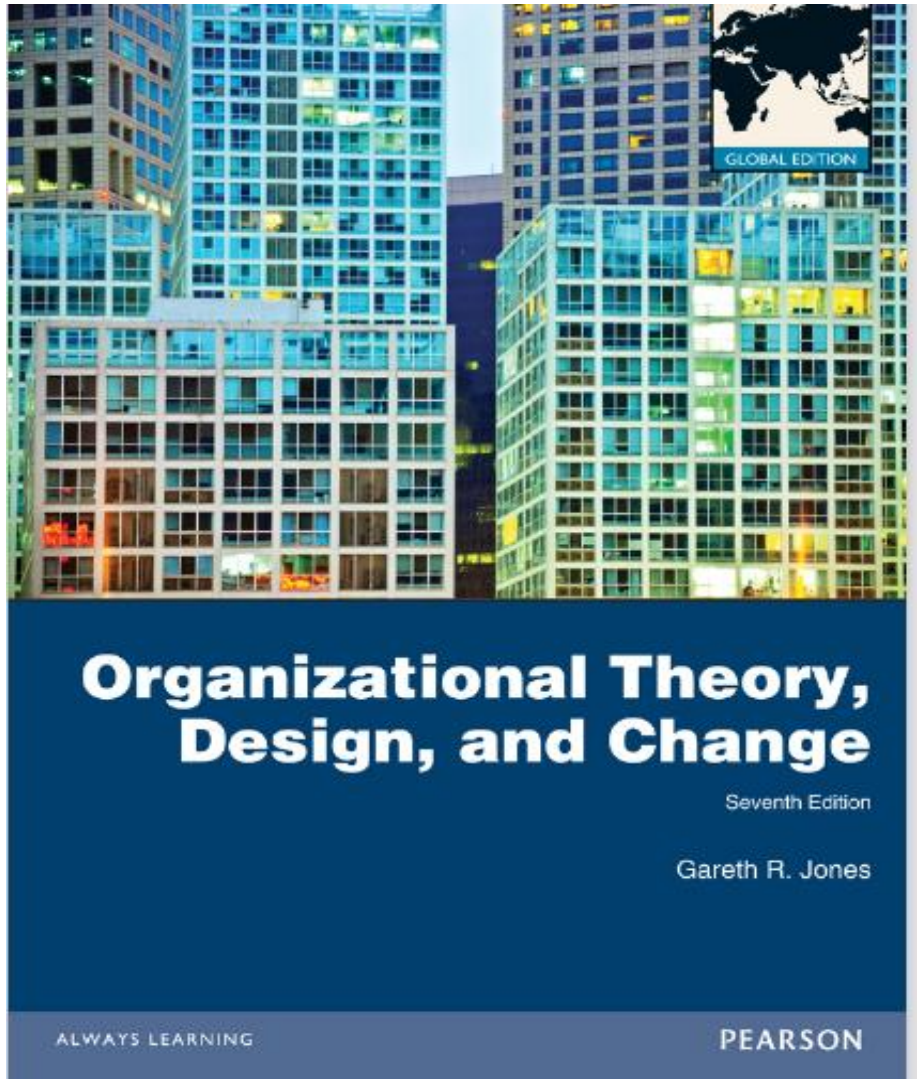


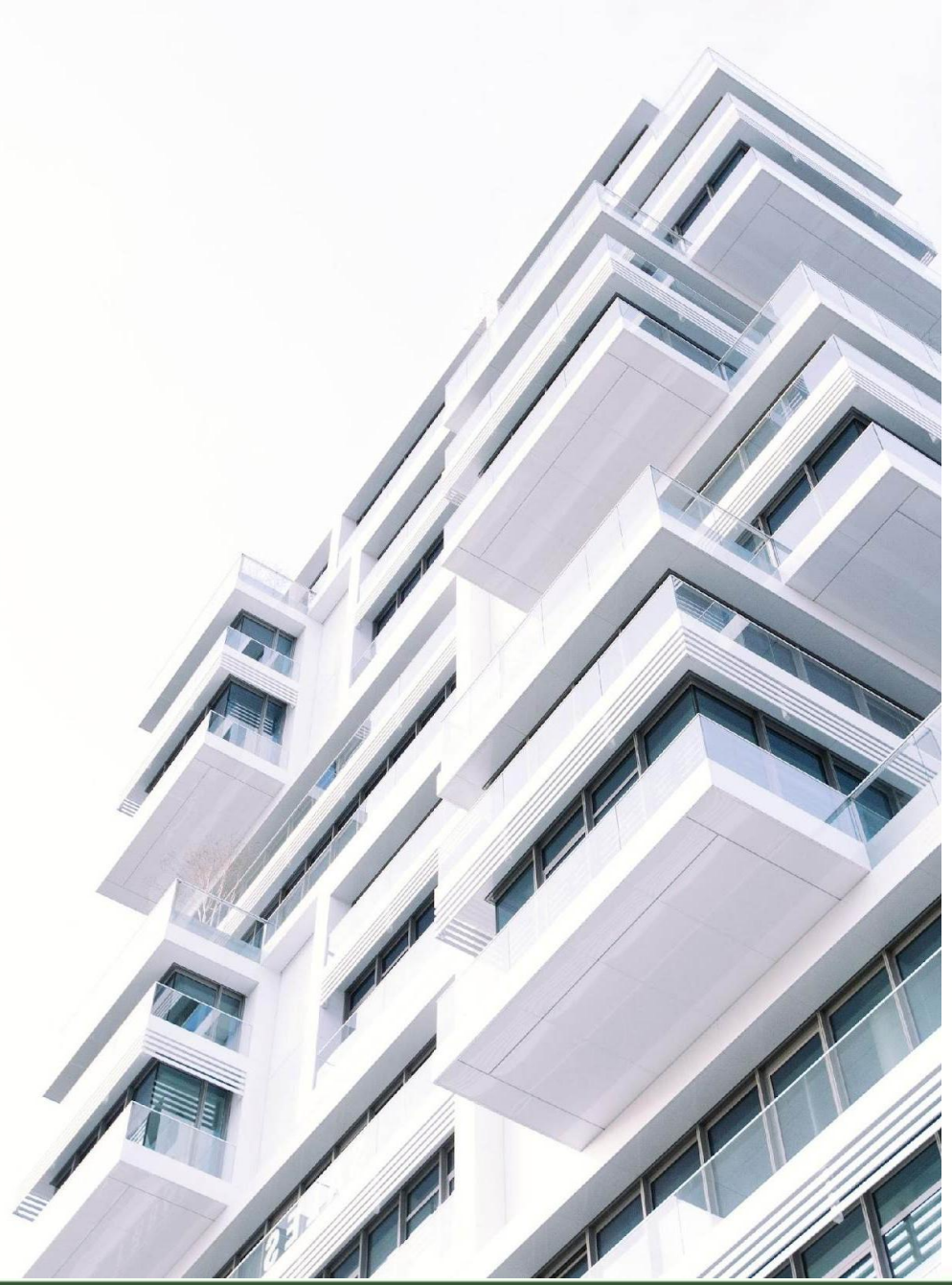
PRU/SPMI/FR-BM-18/R.01/0325

PRADITA UNIVERSITY

PRADITA University

REFERENCES





PRADITA University

Learning Outcomes

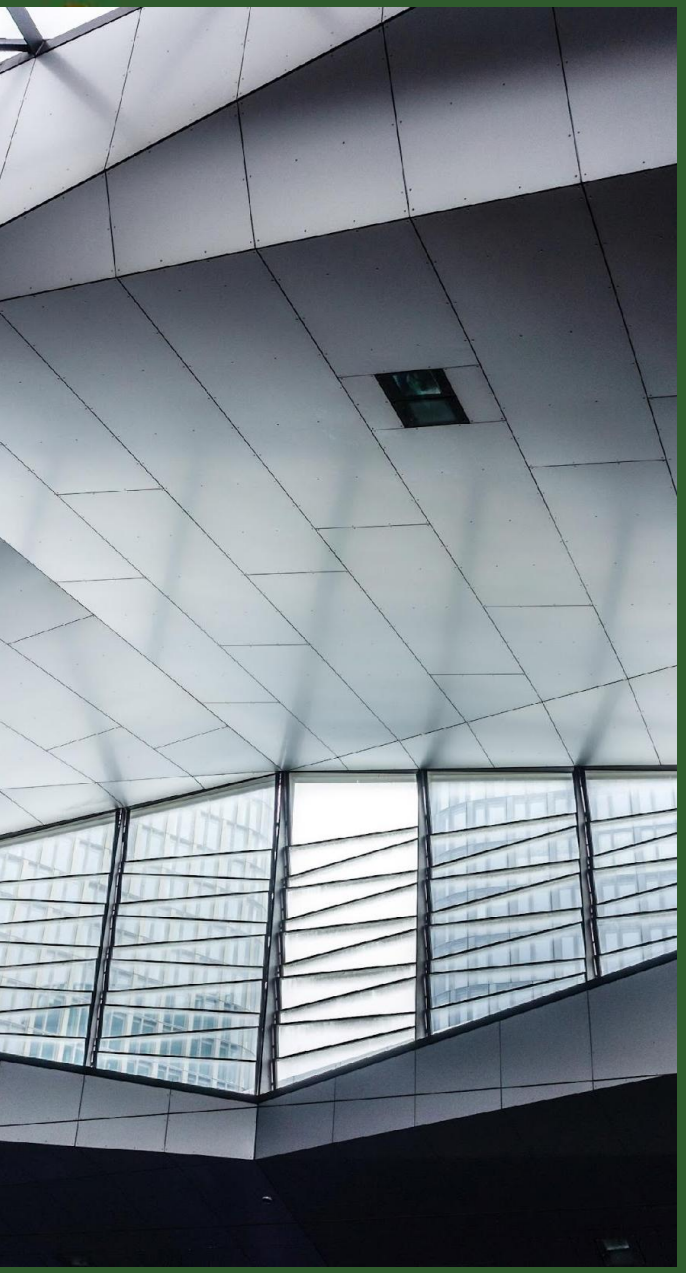
After studying this chapter you should be able to :

1. Identify the ways managers can use functional-level strategy to develop core competences that allow an organization to create value and give it a competitive advantage.
2. Explain how the way managers combine their organization's distinctive competences can create a successful business-level strategy that allows them to compete for scarce resources

PRADITA University

Learning Objectives

3. Differentiate among the corporate-level strategies companies can use to enter new domains where they can continue to grow and create value.
4. Appreciate the importance of linking strategy to structure and culture at each level—functional, business, and corporate—to increase the ability to create value.
5. Understand how global expansion strategies allow an organization to seek new opportunities to take advantage of its core competences to create value for stakeholders.



PRADITA University

Organizational Strategy

- A plan of action that an organization undertakes to create value
- Managers must manage the interrelationship of strategy (at all levels), structure, and culture to maximize the organization's ability



PRADITA University

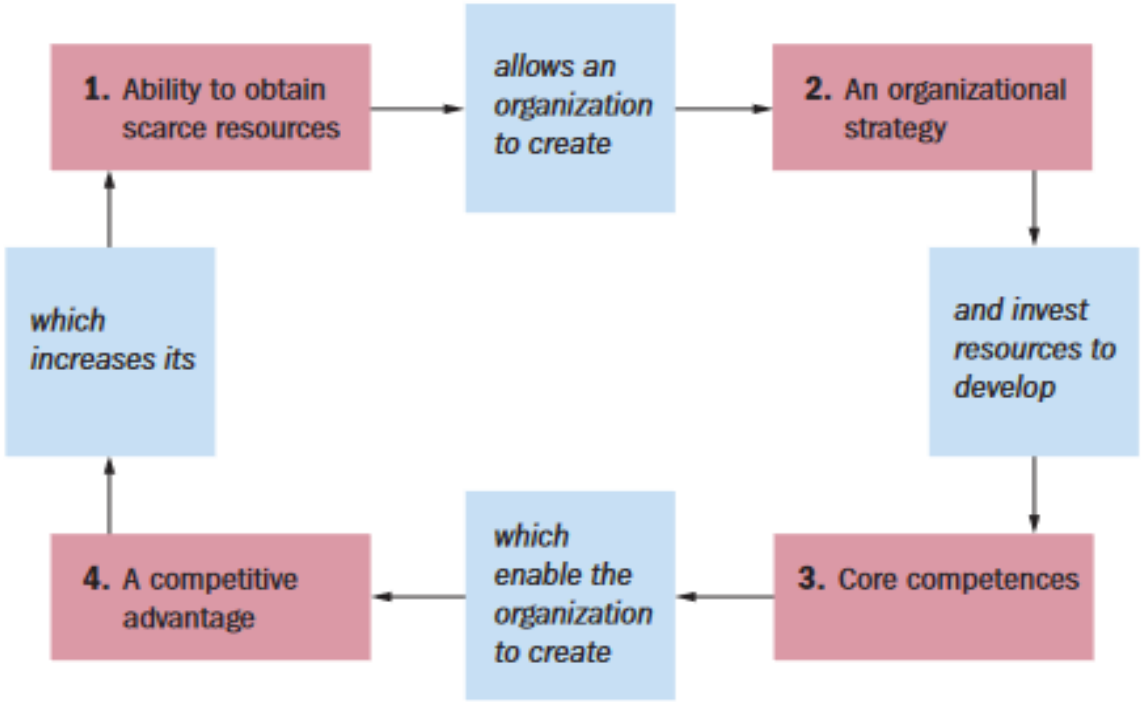
Strategy and the Environment

- Sources of Core Competences :
  - Specialized Resources :
    - Functional Resources
    - Organizational Resources
  - Coordination Abilities



PRADITA University

The Value-Creation Cycle



Global Expansion and Core Competences

Four ways in which global expansion allows an organization to create value for its stakeholders :

1. Transferring Core Competences Abroad
2. Establishing A Global Network
3. Gaining Access To Global Resources And Skills
4. Using Global Learning To Enhance Core Competences

Four Levels of Strategy

- Strategy is formulated at four organizational levels by the managers at each level :
  1. Functional-level strategy
  2. Business-level strategy
  3. Corporate-level strategy
  4. Global expansion strategy

1. Functional-Level Strategy

- Strategies to Lower Costs or Differentiate Products
- Low-Cost and Differentiation Advantages Resulting from Functional-Level Strategy
  1. Manufacturing :
     - Source of Low-Cost Advantage : Development of skills in flexible manufacturing technology
     - Source of Differentiation Advantage : Increase in product quality and reliability
  2. Human resource management :
     - Source of Low-Cost Advantage : Reduction of turnover and absenteeism
     - Source of Differentiation Advantage : Hiring of highly skilled personnel , Development of innovative training programs

Functional-Level Strategy (cont'd)

3. Materials management :
   - Source of Low-Cost Advantage : Computerized warehousing, Development of long-term relationships with suppliers and customers
   - Source of Differentiation Advantage : Use of company reputation and long-term relationships with suppliers and customers
4. Sales and marketing :
   - Source of Low-Cost Advantage : Increased demand and lower production costs
   - Source of Differentiation Advantage : Targeting of customer groups, Tailoring products to customers

Functional-Level Strategy (cont'd)

5. Research and development :
   - Source of Low-Cost Advantage : Improved efficiency of manufacturing technology
   - Source of Differentiation Advantage : Creation of new products, Improvement of existing products



Functional-Level Strategy (cont'd)

- The goal of functional-level strategy : create in each function a low-cost or differentiation competence that gives the organization a competitive advantage.

Functional-Level Strategy and Culture

- What is the importance of culture for a functional-level strategy?
- A competitor can easily imitate another organization's structure, but it is very difficult to imitate another organization's culture
- A company that has an effective culture has an important source of competitive advantage

2. Business Level Strategy

- Low-cost business-level strategy : organization produces low-priced goods and services
- Differentiation business-level strategy :organization produces high-priced, quality products aimed at particular market segments
- Focus Strategy : specializing in one segment of a market and focusing all of the organization's resources on that segment

Business Level Strategy (cont'd)

- The goal of business-level strategy : combine functional low-cost and differentiation competences to exploit opportunities in the organizational environment.
- Business-level strategy selects and manages the domain in which an organization uses its value-creation resources and coordination abilities.

Low-Cost Strategy

Low-Cost Strategy





Differentiation Business-Level Strategy





Focus Strategy

Focus Strategy



Mercedes-Benz

Zwitsal

PRADITA University

Figure 8.4 Types of Business-Level Strategy

Strategy	Number of Market Segments Served: Many	Number of Market Segments Served: Few
Low cost	●	
Focused low cost		●
Differentiation	●	
Focused differentiation		●

Business Level Strategy (cont'd)

- From a strategy perspective, three factors affect an organization's choice of a structure to create a competitive advantage for itself:
  1. organization produces a wider range of products : need greater control over the development, marketing, and production of these products.
  2. organization seeks to find new customer groups for its products : need a structure that allows it to serve the needs of its customers.
  3. As the pace of new product development in an industry increases : need a structure that increases coordination among its functions.

3. Corporate-Level Strategy

- Vertical Integration
- Related Diversification
- Unrelated Diversification

Corporate-Level Strategy (cont'd)

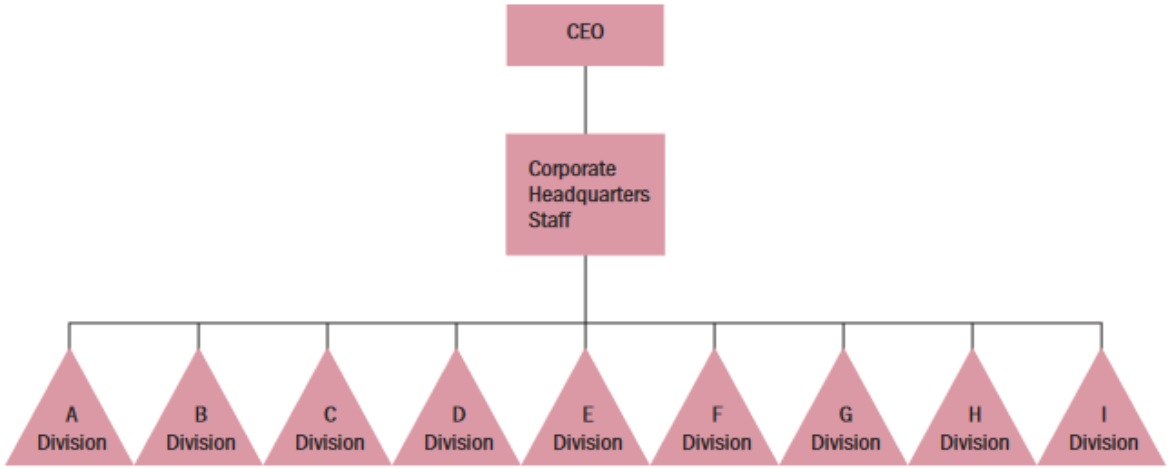
- The goal of corporate-level strategy : to use and develop low-cost and differentiation competences so the organization can protect and enlarge its existing domain and expand into new ones
- Three main types of corporate-level strategy :
  - vertical integration
  - Related diversification
  - unrelated diversification.

Corporate-Level Strategy and Structure

- Conglomerate Structure And Unrelated Diversification

Figure 8.8 Conglomerate Structure

A structure in which each business is placed in a self-contained division and there is no contact between divisions.



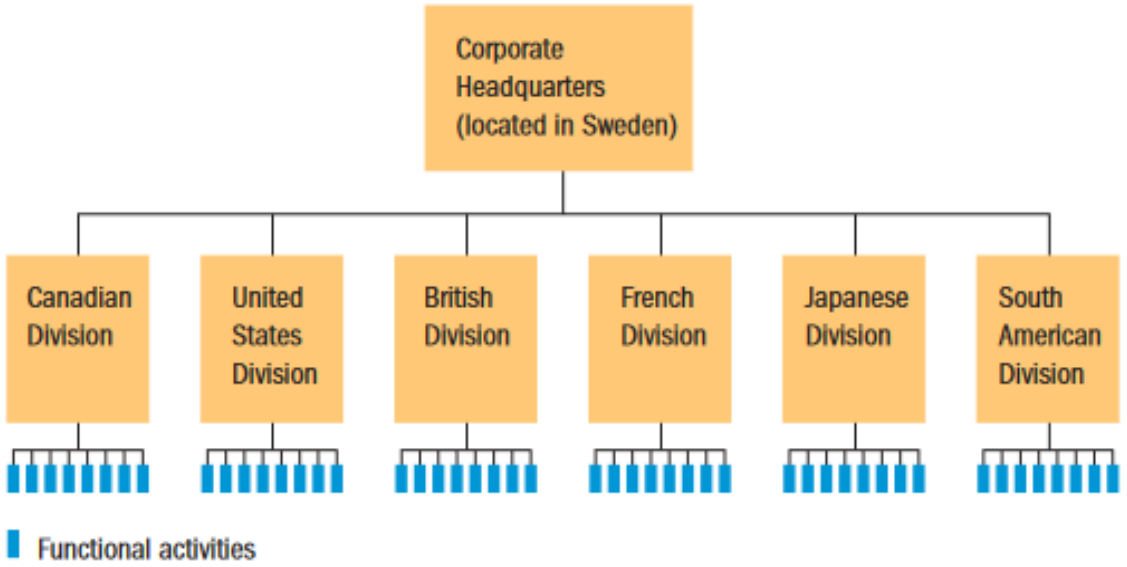
Implementing Strategy across Countries

4 principal strategies as the company begin to market their products and establish production facilities abroad :

1. Multidomestic strategy
2. International strategy
3. Global strategy
4. Transnational strategy

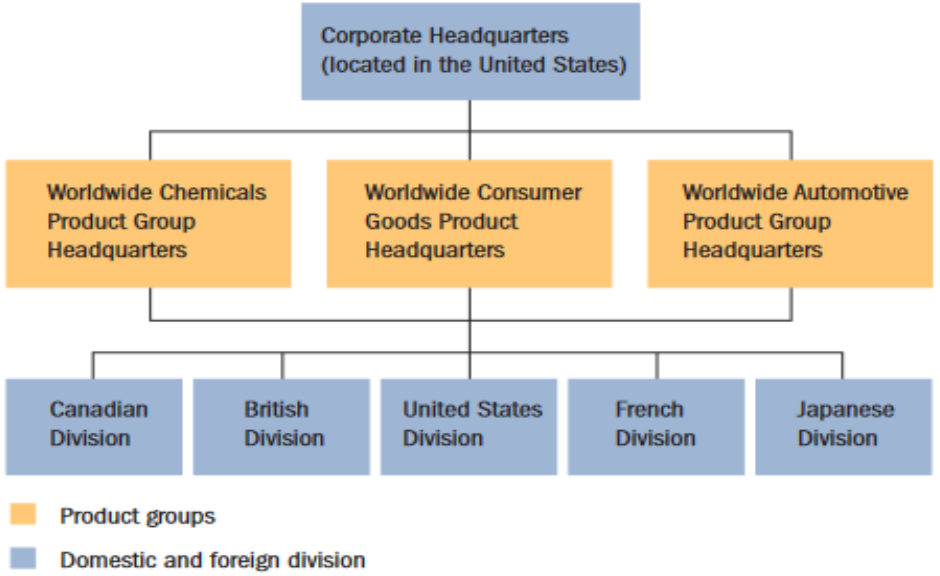
Implementing a Multidomestic Strategy

Figure 8.9 Global Geographic Structure



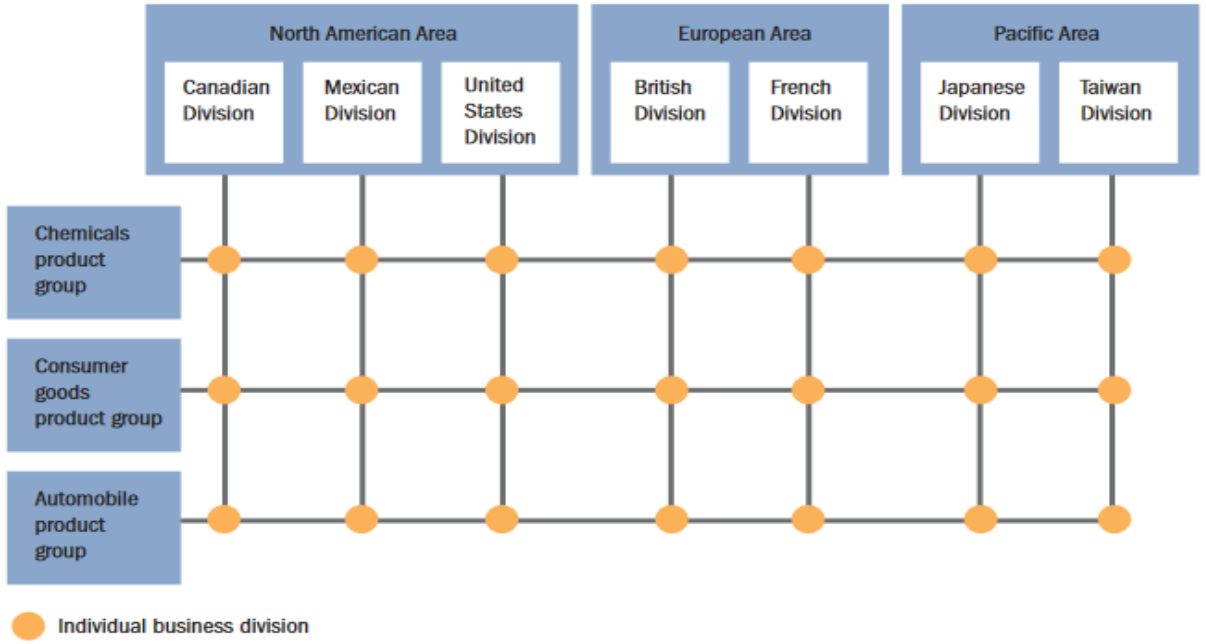
Implementing International & Global Strategy

Figure 8.10 Global Product Group Structure



Implementing Transnational Strategy

Figure 8.11 Global Matrix Structure



THANK YOU

